

will cause the manager's profit to fall below 200 bp, and then the manager would be better by investing the investing amount in the next most attractive opportunity and earning the profit of 200 bp. This is shown in Figure 11.9.

In practice, many portfolio managers may elect to investigate a profit maximizing strategy that consists of the appropriate allocation of dollars across both stocks simultaneously.

Alpha Capture Curves

The alpha capture curve is the portfolio manager's answer to the trader cost curve. Alpha capture curves provide the maximum quantity of total alpha that can be achieved (captured) for a given order size. These calculations follow Equation 11.23 and an example of an alpha capture curve is shown in Table 11.6 using stock data from Figure 11.9. The left hand column shows the order size as a percentage of average daily volume. The columns show the maximum alpha that can be achieved for different alpha forecasts and time horizons. Similar to the trading cost curves, the alpha capture curves are specific for the stock and alpha forecast. Alpha capture curves provide managers with invaluable reference data to determine the size or dollar value that can be invested into a stock.

Table 11.6 Alpha Capture Curves

Portfolio Manager Profit Curves				
Maximum Trading Profit				
% ADV	Alpha over 3 days			
	1%	2%	3%	4%
1%	87	184	282	380
5%	65	156	250	346
10%	45	132	223	317
15%	29	112	201	293
20%	15	95	182	272
25%	2	79	164	253
30%	−10	64	148	236
35%	−22	51	133	219
40%	−32	38	118	204
45%	−43	25	105	190
50%	−52	14	92	176